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EU Energy Sector Specialist Commentary
Oil • OFS • Utilities • Infrastructure

IRAN - Position for an imminent deal, sell Oils / Buy Airports

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I think we're getting a deal on Iran, potentially as early as this long weekend, and would position accordingly across Oils, Utilities and Infra

Clearly the situation remains very uncertain, and this email could age badly (!), but I would be taking profits in key conflict winners (most of the Oils, especially Upstream/Refiners, Gencos in Utilities) and looking to add some conflict losers such as Airports, Toll Roads and Technip Energies

Thoughts welcome, Mitch

Why now? Because pressure where it matters (bonds, gasoline) has become acute and a deal now is the least bad option...

- Clearly neither the US nor GCC countries want a re-escalation of the conflict and it is hard to see what this would achieve anyway, apart from guaranteeing that Hormuz stays closed for weeks or months more
- But continued delays are also no longer an option - US 10yr yields are +60bps since the war began to c4.6%, Trump (rightly) cares about bond markets (and not equities as some have argued). He has previously pivoted when yields break 4.5% (Liberation Day, Chinese tariff discussion etc).
- Add in another huge draw in US oil inventories this week (gasoline stocks are now down for 14 weeks in a row) and prices at the pump at stress levels across the US (>\$6/gallon on avg in Cali, >\$4.5 on avg countrywide) and pressure is acute, just as driving season starts this weekend
- JPM Global Head of Commodities Research Natasha Kaneva is of the same view - she wrote recently ([Oil Weekly: The butterfly effect](#)) that the Strait has to reopen in June to avoid a major escalation in global demand destruction
- All this means that the least bad option is a deal, even if reaching that deal is likely to need significant concessions to the Iranian regime

... and there are signs that something is happening

- The US [Hormuz blockade is clearly not being enforced](#)
- Iran yday said the [latest US deal proposal had narrowed the gap between the two sides](#), the first positive comments from them for some time. Both sides (via [Al Jazeera](#) and the White House) denied yday's stories that Iran's new Supreme Leader had said that enriched Uranium must stay in the country
- Trump had a [difficult phone call with Netanyahu](#) this week, Netanyahu is known to want to continue the conflict and finish the job
- A [massive options bet on Tuesday that would see a \\$129m payout if Brent fell to c\\$90/bbl by May 26th](#) – admittedly could be nothing, but could be something

- On Monday Trump sent a Truth Social post (reproduced below) about how the US press will claim Iran has won regardless of the peace deal he reaches with them. In a rare move, he re-Truthed the same post at 630am UKT today. Looks like classic pre-emption

- None of these are conclusive and the situation remains highly uncertain, but with this weekend a long one with markets shut on Monday in the US (Memorial Day), the UK, several European markets and Saudi, there is a lot of time for something to happen

... take profits in Oils (add Technip Energies) and Utility generators, add Airports and Tolls

Energy has been the best performing sector in Europe since the conflict began, +13% vs SXXP -2%. As per the below charts, the key conflict winners have been Upstream-levered companies whose assets are largely or completely outside the ME (EQNR, VAR, AKRBP, ENI all up 24-36%)

- We've had multiple previews of what a peace deal will mean for markets (23rd Mar, 8th Apr, 17th Apr, 5-6th May) and each time oil plummeted high single/low double digit, the SXEP was the worst sector in Europe, and upstream stocks (and often REP and Neste) were weakest

- Technip Energies (flat since end-Feb) has been the sectoral loser from the conflict give ME exposure and happy to own that now (see [Alejandra's latest here](#))

- Worth noting that as per [Natasha's recent report](#) we think Brent averages c\$100/bbl this year even assuming Hormuz reopens in June, so there will be ops to add stocks on weakness. We like TTE, Shell, Galp, Eni, SPM ([see here](#))

Utilities have been mixed during the conflict, with generators / renewables (Orsted, Fortum, EDPR, VER, RWE) largely outperforming. These are well owned, especially by HFs, and expect them to be weak on a peace deal

- I would also expect to see underperformance even in those utilities not directly impacted by commodities, such as networks. They are also very well owned, and I would expect to see rotation out of them and into stocks/sectors which directly benefit from a conflict resolution. Hard to point to any actual utility winners from a deal, maybe Veolia?

- We very much continue to like the utility space medium and long term however (see recent reports [here](#) and [here](#)) and would add our favourites – RWE, Engie, SSE, CNA, NTGY – on weakness

Infra has been hit hard by the conflict with only GET in the green since end-Feb. Major losers have been airports (especially FRA -18%) but DG and FGR have also lagged. All look like good options to be long into a resolution ([latest from Elodie](#) but especially FRA, our top fundamental pick in airports).

Thoughts welcome
Mitch

Trump on Truth Social – Posted on Monday, and re-posted again this morning

"If Iran surrenders, admits their Navy is gone and resting at the bottom of the sea, and their Air Force is no longer with us, and if their entire Military walks out of Tehran, weapons dropped and hands held high, each shouting "I surrender, I surrender" while wildly waving the representative White Flag, and if their entire remaining Leadership signs all necessary "Documents of Surrender," and admit their defeat to the great power and force of the magnificent U.S.A., The Failing New York Times, The China Street Journal (WSJ!), Corrupt and now Irrelevant CNN, and all other members of the Fake News Media, will headline that Iran had a Masterful and Brilliant Victory over The United States of America, it wasn't even close. The Dumacrats and Media have totally lost their way. They have gone absolutely CRAZY!!! President DJT"

EU Oils performance ytd and since the start of the conflict

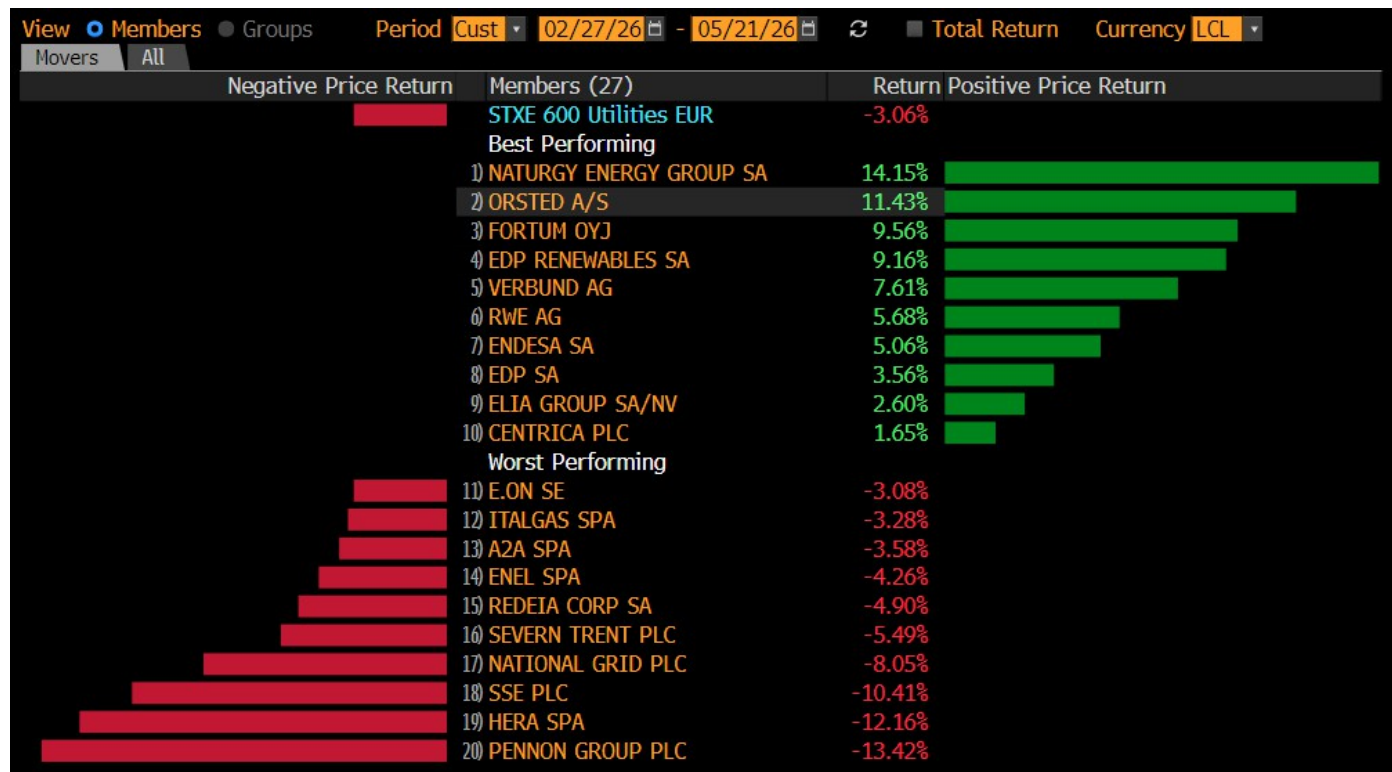
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EU Utilities performance ytd and since the start of the conflict

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EU Infra performance ytd and since the start of the conflict

Range 02/27/2026 - 05/21/2026		Period Daily	No. of Period 83
Security	Currency	Price Change	Total Return
1) DG FP Equity	EUR	-12.54%	-9.96%
2) FGR FP Equity	EUR	-16.14%	-12.97%
3) FER SM Equity	EUR	-7.76%	-6.86%
4) GET FP Equity	EUR	1.19%	1.19%

Range 12/31/2025 - 05/21/2026		Period Daily	No. of Period 141
Security	Currency	Price Change	Total Return
1) DG FP Equity	EUR	2.54%	5.57%
2) FGR FP Equity	EUR	.16%	3.95%
3) FER SM Equity	EUR	5.28%	6.30%
4) GET FP Equity	EUR	18.50%	18.50%

Range 02/27/2026 - 05/21/2026		Period Daily	No. of Period 83
Security	Currency	Price Change	Total Return
1) AENA SM Equity	EUR	-10.99%	-7.04%
2) ADP FP Equity	EUR	-8.45%	-8.45%
3) FRA GY Equity	EUR	-19.46%	-18.26%
4) FHZN SW Equity	CHF	-13.94%	-10.83%

Range 01/05/2026 - 05/21/2026		Period Daily	No. of Period 136
Security	Currency	Price Change	Total Return
1) AENA SM Equity	EUR	-2.51%	1.82%
2) ADP FP Equity	EUR	-2.87%	-2.87%
3) FRA GY Equity	EUR	-6.42%	-5.03%
4) FHZN SW Equity	CHF	-11.32%	-8.11%

Thoughts welcome,
Mitch

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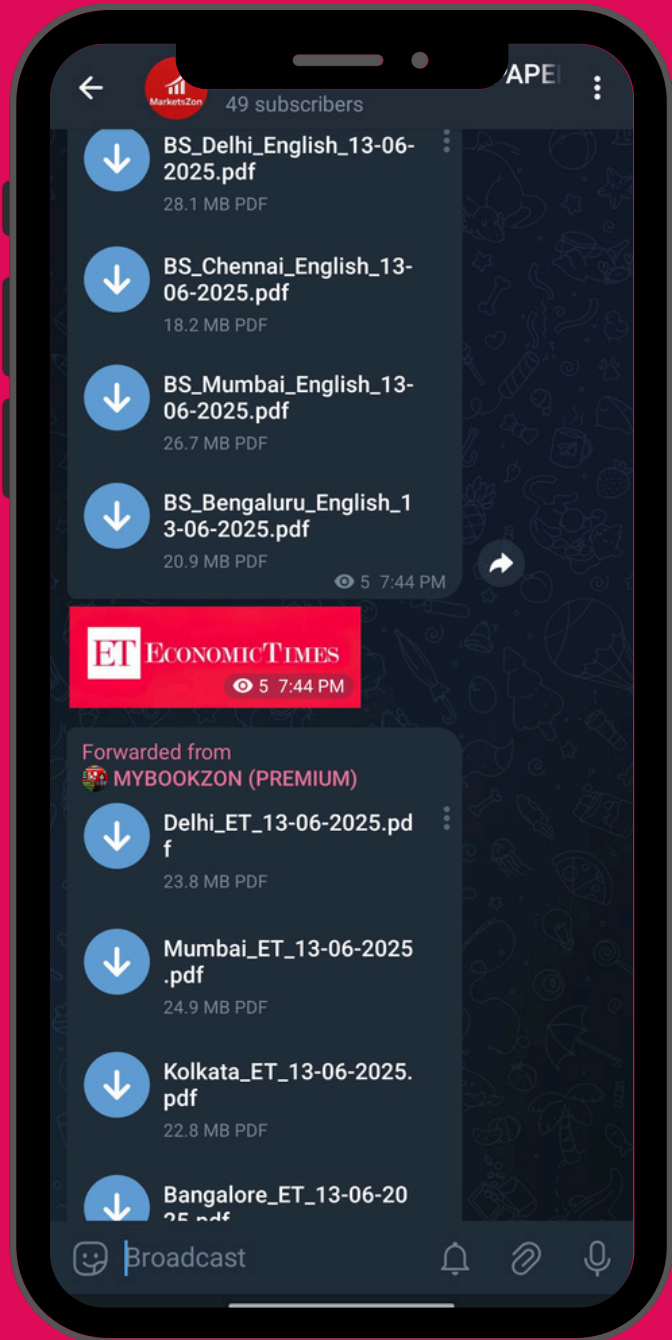
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